

Filfine Products Marketing Cooperative

Purok 4, Crossing Tagbayangbang, Bunawan Brook, Bunawan Agusan del Sur

ANNUAL BUSINESS PLANS AND PROGRAMS FOR LUMBER DEALER

Introduction:

One important role need by wood industry is how to market the lumber product, may it be to local, or export. Falcatoria species are among the major softwood species that offered great demand in local wood processing plants. Its raw material availability is evident in the four (4) Provinces of the region. It is only a matter of time and effort plus the continued government incentives on plantation, wood processing plants will sustainably operate for more long years and would become one of the country's important businesses to boast for our contribution to the Philippine economy. In such manner, marketing arm plays a vital role in the industry. That is why, lumber dealers are in demand handling more on the role of disposal thru marketing.

Basic Information:

1) Background

Filfine Products Marketing Cooperative (FIMCO) is engaged in lumber buying and selling. Lumber from planted species are the only lumber product acceptable to the cooperative. It's location is in Purok 4, Crossing Tagbayangbang, Bunawan Brook, Bunawan, Agusan del Sur and nearby communities. All lumber being purchased and delivered to its plant will pass thru strict quality check according to the market specifications. Lumber that will not passed quality checked will be fall down and subject to reprocessing into small sticks for another market. It's supplied lumber wood is for both export markets and even to local market.

Lumber business is high because of the ever-increasing demand in the market. Thus, the proponent has decided to venture for lumber dealership which offered a good return of investment. The propose project is consistent with the government thrusts of ensuring legal disposal of the lumber products to legal markets as well

The proponent being a lumber dealer has venture into securing enough supply of lumber from legit and legal processors and owner of lumber processing for a long time wood lumber supply agreement in order to sustain its operation.

2) Location

Filfine Products Marketing Cooperative is located at Purok 4, Crossing Tagbayangbang, Bunawan Brook, Bunawan, Agusan del Sur. The total site area is 16,600 square meter more or less, a portion of the 20,000 square meter lot used by the cooperative in lieu of the Certificate of Free Rent issued by the Lease as per Lease Contract signed between the registered owner.

II. PRODUCTION PROGRAM

A. Processing and Operation Program:

1. Lumber Supply Source

Lumber materials will be sourced out from the existing lumber processing plant owners in lieu of the Lumber Supply Contract issued in between the coop as the buyer and the supplier. If the need arises, the proponent will also resort to securing lumber materials coming from other legitimate nearby provinces who are also holders of Lumber processing permits.

2. Lumber Quantifying and Quality Check

Lumber accepted are based on market requirement. Current requirement sizes are from standard of 2 inches thick, from 3 inches up wide and a length of 4.5 ft. In the event that there are lumbars that do not pass the sizes or quality, using the one unit of bandsaw machine allowed by the department to us, which is intended for such event, the proponent will then recut, resize and requalify and cut into smaller pieces of stick for another market. And the fall down, rejects will be sold as firewood. The finished lumber after quality check, will be filed and ready for stuffing unto dry container van for transport to buyer.

B. Employment Program

The proposed lumber yard will be handled managed with a total manpower of four (4) personnel for both administrative and operations department. The proponent may secure or sourced out working force from employment agencies for possible immediate and short term need depending on the current need of the coop's operation. The manpower will receive salaries and other benefits as prescribed by our existing labor laws.

C. Cost Reduction Program

Aside from quality raw materials, efficient needed equipment or machines, the proponent will see to it that hiring well equipped and qualified personnel is one of the most important key in cost reduction, therefore, during the hiring process, proper training and seminars is a must. It will be conducted by hiring authorized agencies and or the inhouse technical personnel of the management capable and having the proper training to conduct and teach the newly hired working force. But, the proponent will see to it that the welfare of the employees is highly valuable nor the quality of its products which will be carefully maintained to make it competitive with the prevailing market.

D. Waste Utilization Program

Wastes from lumber such as rejected lumbars, sticks, possible sawdust, trimmings and cut outs be gathered and processed in the recovery mill to recover wood materials for making pallet boards for crating purposes or pile bearers of work-in process materials or other economical uses like industrial fuel for the plant while sawdust are either utilized for filling up the plant premises or even to the private individuals requiring the same product.

E. Pollution Control Program

The proposed lumber dealer yard will abide to all pollution control measures promulgated by the Environmental Management Bureau (EMB) and shall properly dispose of its wastes so as not to contribute to the pollution in the vicinity or in the locality.

III. FINANCIAL PROGRAM

The lumber dealer venture requires capitalization, in securing area for its yard, office building, stocking area for incoming, qualifying area for quality check, stocking area of finished product and a loading area and material recovery facility also procurement of allowed machine or equipment needs capitalization. All in all roughly estimated at about Three Hundred Thousand Pesos (300,000.00) for a start and as rolling capital to continue the business.

IV. MARKETING PROGRAM

A. Products

The proponent's lumber product will be out and disposed to markets of both local and export. Lumber products accepted is mainly planted specie of Falcataria, but not limited to Gmelia, Bagras, Mangium as well as lumber from naturally grown trees of legitimate sources if needed. Thickness and dimensions shall be in accordance to pre-agreed requirements of the buyer and its quality shall be compliant to prevailing market standards. Likewise, production schedule shall match with the required delivery dates of the buyer. All lumber wood materials shall be covered with the necessary DENR documents and shall follow existing guidelines of reporting and documentation.

A. Pricing

Prices of finished products shall be negotiated by both parties using relevant references like prevailing market price, pre-agreed terms and related conditions that will give both parties equitable share of economic benefits that can be generated from the wood processing plant.

The above presented business plans and program for Filfine Products Marketing Cooperative to support its venture as Lumber Dealer, such plans may be applicable for one (1) year or this year 2026 supporting the validity of the permit granted by the department or might be updated as necessary.

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